



Alibaba

Alibaba Group

December Quarter 2024 Results

Conference Call

Transcript

Thursday, 20 February 2025

Introduction

Lydia Liu

Head of Investor Relations, Alibaba Group

(Original)

Good day everyone, and welcome to Alibaba Group's December Quarter 2024 earnings conference call. With us are Joe Tsai, Chairman; Eddie Wu, Chief Executive Officer; Toby Xu, Chief Financial Officer; Jiang Fan, Chief Executive Officer of Alibaba E-Commerce Business Group. This call is also being webcast from the IR section of our corporate website. A replay of this call will be available on our website later today.

Now let me quickly cover the Safe Harbor. As usual, we would like to remind everyone that today's discussions may contain forward-looking statements, particularly statements about our business prospects and expected financial results, that are subject to risks and uncertainties, which could cause actual results to differ materially from those contained in the forward-looking statements. Please refer to the safe harbor statements that appear in our press release and investor presentation provided today.

Please note that certain financial measures that we use on this call are expressed on a non-GAAP basis. Our GAAP results and reconciliations of GAAP to non-GAAP measures can be found in our earnings press release.

Unless otherwise stated, growth rate of all stated metrics mentioned during this call refers to year-over-year growth versus the same quarter last year.

With that, I will now turn the call over to Eddie.

Group Business Update

Eddie Wu

CEO, Alibaba Group

(Translation)

Hello everyone. Welcome to this quarter's earnings call.

Over the past year, we have pursued our "user-first, AI-driven" strategy and focused on our two core businesses of e-commerce and AI + Cloud. After a year of transformation, our core businesses have demonstrated accelerating growth momentum. We have also largely completed the divestments of our offline assets. Across Alibaba Group, our businesses now possess strong business fundamentals and profit-generating capabilities.

This quarter, we continued to pursue our integrated "AI + Cloud" strategy in our cloud business. Leveraging our industry-leading AI product portfolio, overall revenue excluding Alibaba-consolidated subsidiaries grew 11% year-over-year this quarter, with AI-related product revenue maintaining triple-digit year-over-year growth for the sixth consecutive quarter. With the rapid adoption of AI technology across industries, customer demand for Alibaba Cloud products has surged. Looking ahead, revenue growth of Cloud Intelligence Group will continue to accelerate.

We recently launched Qwen2.5-Max, our flagship AI foundation model, which has achieved industry-leading performance across multiple recognized benchmarks. As of the end of January, over 90,000 Qwen-based derivative models have been developed globally, making Qwen the most popular among developers across the major model families. Over 290,000 companies and developers have accessed Qwen APIs through Alibaba Cloud's Bailian platform. We will soon release a deep reasoning model built on Qwen2.5-Max.

In e-commerce, Taobao and Tmall continued to invest in new user growth and comprehensive user experience enhancements. We saw strong growth in both new consumers and orders during the quarter. 88VIP members, our core consumer group, maintained double-digit growth, reaching 49 million by the end of the quarter. Taobao and Tmall also made solid progress in monetization as planned, with CMR growing 9% year-over-year. At the same time, Taobao and Tmall continued to strengthen merchant-friendly measures that improve our platform's business operating environment, fostering higher-quality and more sustainable development.

Our international e-commerce business maintained strong growth this quarter, driven by cross-border businesses, with continued improvement in operating efficiency. During the quarter, we increased investment in key markets while focusing on operating efficiency, with Choice's unit economics improving on a sequential basis. We expect AIDC to achieve its first quarter of profitability in the next fiscal year.

Our other internet platform businesses continued to improve operating efficiency. Amap achieved profitability this quarter.

Looking ahead, Alibaba's strategic direction and roadmap are clearer than ever. We will continue to focus on three business categories: first, domestic and international e-commerce; second, AI + cloud computing; and third, internet platform businesses. We are confident that our focused strategy will drive sustained solid growth for Alibaba Group.

Today, AI technology advancements are driving profound industry transformation. In alignment with Alibaba Group's business landscape, we will scale up investments in the following three areas as part of our broader AI strategy over the next three years:

First, infrastructure for AI and cloud computing: The AI era presents a clear and massive demand for infrastructure. We will aggressively invest in AI infrastructure. Our planned investment in cloud and AI infrastructure over the next three years is set to exceed what we have spent over the past decade.

Second, AI foundation models and AI-native applications: AI foundation models are pivotal to transforming industry productivity. We will substantially increase R&D investment in AI foundation models to maintain our technological leadership and drive the development of AI-native applications.

Third, transforming our existing businesses with AI: AI technology presents powerful opportunities to enhance user value across our e-commerce and other internet platform businesses. We will increase investment in AI application R&D and computing power, and deeply integrate AI across our businesses, capturing new growth opportunities in the AI era.

Looking ahead, we are confident in our focused strategy on e-commerce and "AI + Cloud" and excited by the business opportunities being unlocked by this new technology cycle.

Thank you.

Financial Highlights

Toby Xu

CFO, Alibaba Group

(Original)

Thank you, Eddie.

The strong financial results of the past quarter shows that we are making very good progress to re-ignite growth in our core businesses.

On our Taobao and Tmall businesses, we saw a significant upswing in CMR growth which accelerated to 9% year-over-year, driven by growth in online GMV and improved monetization. This outcome reflected full-quarter impact of the software service fee and the increasing adoption of “Quanzhantui”.

Our Cloud business continues to exhibit robust momentum, with revenue growth accelerating to 13%, and overall revenue from businesses excluding Alibaba-consolidated subsidiaries grew over 11%, fueled by an even faster public cloud revenue growth. Additionally, our AI momentum remains robust, with AI-related product revenue sustaining triple-digit growth for the sixth consecutive quarter. These achievements highlight our commitment to innovation and reinforce our leadership in the cloud and AI sectors.

This quarter, AIDC maintained its rapid growth momentum, primarily driven by strong cross-border business performance. AIDC increased investments during overseas shopping festivals quarter-over-quarter, and continued to invest in select European markets and the Gulf region to acquire users.

While we made good progress in growing our core businesses, we maintained financial discipline with enhanced operating efficiency, achieving positive EBITA growth in Taobao and Tmall Group. Meanwhile, we improved the operating efficiency of other businesses with the goal of sustainable business growth and achieving profitability. This quarter, Amap achieved profitability for the first time, while the majority of loss-making businesses will achieve breakeven and gradually begin to contribute profitability at scale within the next one to two years.

We have been actively managing our balance sheet through strategic divestments of non-core assets, share buybacks and effectively extending our debt maturities at attractive rates.

During the quarter, we entered into agreements to dispose all of our interests in Sun Art for up to a maximum of US\$1.6 billion and in Intime for US\$1 billion. These moves reflect our strategic shift to streamline operations and focus on our core businesses. Recently, we have obtained the PRC anti-trust approval with respect to Sun Art’s and Intime’s merger control filing. We

expect the major financial impacts will be reflected in March quarter. These transactions will improve our operating efficiency and enhance our agility.

For December quarter, we repurchased shares for a total of US\$1.3 billion, or a 0.6% net reduction in share count. Combined with approximately US\$10 billion repurchased in the first half of this fiscal year, we had achieved a 5% net reduction in share count over last nine months.

In November 2024, we also completed a dual-currency bond issuance, raising approximately US\$5 billion through a combination of US\$2.65 billion US dollar-denominated notes and CNH17 billion RMB-denominated notes, which was strategically structured to leverage the attractive pricing of RMB notes to significantly lower our overall financing cost.

On a consolidated basis:

Total consolidated revenue was RMB280.2 billion, an increase of 8%.

Consolidated adjusted EBITA increased 4% to RMB54.9 billion, primarily attributable to revenue growth and improved operating efficiency, partly offset by the increase in investments in our e-commerce businesses.

Excluding the effects of long-term cash incentive plan, our adjusted EBITA growth would have been an increase of 5% on a like-for-like basis compared to the same quarter last year.

Our non-GAAP net income was RMB51.1 billion, an increase of 6%.

Our GAAP net income was RMB46.4 billion, an increase of 333%, primarily due to the increase in income from operations, mark-to-market changes from our equity investments, and the increase in share of results of equity method investees.

Operating cash flow this quarter was RMB70.9 billion, an increase of 10%. Free cash flow this quarter decreased 31% to RMB39 billion. The decrease in free cash flow was mainly attributed to the increase in expenditure related to our investments in cloud infrastructure.

As of December 31, 2024, we continued to maintain a strong net cash position of RMB378.5 billion or US\$51.9 billion.

The strong net cash position and healthy operating cash flow bring us the confidence and sufficient resources to increase our investment in cloud and AI infrastructure to capitalize the substantial growth potential presented by the latest AI innovations.

Now let's look at the segment results starting with Taobao and Tmall Group.

Revenue for Taobao and Tmall Group was RMB136.1 billion, an increase of 5%. Customer management revenue increased by 9%, primarily driven by the growth in online GMV and improvement of take rate. This outcome reflected full-quarter impact of the software service fee and the increasing adoption of "Quanzhantui".

We increased efforts to grow our user bases and continued to invest in strategic initiatives to enhance user experience. These efforts led to strong growth in new consumers and strong order growth.

During this quarter, the number of 88VIP members continued to grow rapidly, reaching 49 million, with solid profitability and increasing ARPU on a cohort basis. We will continue to balance the scale and profitability of this program.

Taobao and Tmall Group adjusted EBITA increased by 2% to RMB61.1 billion, primarily due to the increase in revenue from customer management service, partly offset by the increase in investment in user experience.

Revenue from AIDC grew 32% to RMB37.8 billion this quarter, primarily driven by strong performance of cross-border businesses. Revenue from International commerce retail business increased by 36% to RMB31.6 billion, primarily driven by the increase in revenue contributed by AliExpress and Trendyol. Revenue from our International commerce wholesale business increased by 18% to RMB6.2 billion, primarily due to an increase in revenue generated by cross-border related value-added services.

AIDC's adjusted EBITA was a loss of RMB5 billion, compared to a loss of RMB3.1 billion in the same quarter last year. AIDC increased investments during overseas shopping festivals quarter-over-quarter, and continued investments in select European markets and the Gulf region to acquire users. However, the UE of the AE *Choice* business improved on a sequential basis. Moving forward, we will continue to enhance operating efficiencies within each business, and drive high-quality growth by strategic investments in select markets.

Revenue from Cloud Intelligence Group grew 13% and overall revenue excluding Alibaba-consolidated subsidiaries increased by 11%, mainly driven by the double-digit revenue growth of public cloud products including AI-related products.

Cloud's adjusted EBITA increased by 33%, primarily due to shift in product mix toward higher-margin public cloud products and improving operating efficiency, partly offset by the increasing investments in customer growth and technology.

We will continue to invest in anticipation of customer growth and technology innovation, particularly in AI infrastructure, to capture growth opportunities in the AI era.

Revenue from Cainiao decreased by 1% and its adjusted EBITA decreased by 76%. There is an ongoing restructuring with our e-commerce businesses taking on certain logistics platform role. Cainiao will continue to focus on building its global smart logistics network and make its end-to-end logistics capabilities available to our own e-commerce businesses as well as third parties.

Revenue from Local Services Group grew by 12% to RMB17 billion, driven by the order growth of both Amap and Ele.me, as well as revenue growth from marketing services, while its adjusted EBITA loss narrowed significantly as unit economics improved due to operating efficiency and as scale increased.

Revenue from Digital Media and Entertainment Group grew 8% to RMB5.4billion, while its adjusted EBITA loss continued to narrow.

Revenue from All others segment increased 13% to RMB53.1 billion, mainly due to the increase in revenue from retail businesses including Freshippo and Alibaba Health, while adjusted EBITA was a loss of RMB3.2 billion.

In closing, during this quarter, we are making significant strides in enhancing the competitiveness of our e-commerce and cloud businesses. Additionally, we are focusing on improving the efficiency of our loss-making segments to establish a clear path to profitability.

In addition, this quarter we continued to optimize our balance sheet and shareholder return with significant non-core asset sales, share buybacks, and effectively extending our debt maturities at attractive rates.

As Eddie mentioned, we will continue to execute our strategy and make significant investments to seize the opportunities presented by the AI era. Looking ahead, our unique business positioning, coupled with our strong financial position, gives us full confidence to grow.

Thank you, that's the end of our prepared remarks. We can open up for Q&A.

Q&A

Lydia Liu:

(Original)

Hi, everyone. For today's call, you are welcome to ask questions in Chinese or English. A third-party translator will provide consecutive interpretation for the Q&A session. Please note that the translation is for convenience purpose only. In the case of any discrepancy, our management statement in the original language will prevail. If you are unable to hear the Chinese translation, bilingual transcripts of this call will be available on our website within one week after the end of the meeting.

Alicia Yap (Citigroup):

(Original)

Thank you. Good evening, management. Thanks for taking my question. Congratulations on the solid results. My question is related to cloud, AI and also the CapEx. So with Alibaba's leading cloud infrastructure service and strong foundation AI models, Alibaba is well-positioned to capture the transformation era of these AI adoptions in the coming months in China and also possibly outside of China. So maybe can management share some insight as how it will translate into the financial upside in terms of the cloud revenue growth and also the cloud margins trend in the next few quarters?

We know that CapEx spent this quarter almost doubled from last quarter to 31 billion¹ and also management noted on the prepared remark that your expected investment in cloud and AI infrastructure in the next three years will be more than the past 10 years. So can management clarify the comment and help us crystallize the amount of the spend in the next few quarters and also do you have a budget that you can share for us for the next three years, and how will the cloud and AI infrastructure spend actually impact overall profitability trend? Thank you.

Eddie Wu:

(Translation)

Thank you. There were quite a few questions in there. Before addressing them directly, I'd like to take this opportunity to share our overall perspective on AI - why we are making such

¹ "to 31 billion" should be "over 31 billion"

significant investments, how we perceive the opportunities, and how we plan to progressively implement AI applications and capture monetization opportunities as AI technology evolves.

We believe that Alibaba is uniquely positioned in the AI space, particularly in Asia, where we possess several critical advantages. First, Alibaba Cloud is the fourth-largest cloud provider globally and the largest in Asia, with the industry-leading scale and technologies. Second, we have advanced proprietary AI models and a thriving open-source ecosystem centered around Qwen. Third, we have the most extensive range of application scenarios within our own consumer-facing ecosystem.

However, to fully articulate our AI strategy, we need to take an even longer-term perspective, because we view this as the kind of opportunity for industry transformation that really only comes about once every several decades.

Firstly, for Alibaba, the primary objective of our AI strategy — our first and foremost goal — must be the pursuit of AGI (Artificial General Intelligence), constantly extending the boundaries of our models' intelligence. Why must achieving AGI be our top priority, beyond any currently visible applications? Because all of today's AI applications — whether in productivity tools, content creation, AI search (which has garnered so much attention), or chatbots — are simply opportunities that have emerged as AI capabilities advance. We believe that enhancing intelligence itself is the core driver of this AI-led productivity revolution.

From the perspective of business value creation, why is intelligence capability so crucial? The standard definition of AGI is artificial intelligence that can achieve 80% or more of human capabilities. Considering that some 50% of global GDP consists of labor costs, including both intellectual and physical work, we project that once AGI is realized, AI-driven industries will likely become the largest sector globally, with the potential to reshape or even replace around 50% of today's GDP composition.

Secondly, the deep integration of cloud and AI will form the most critical AI infrastructure. Moreover, our cloud + AI synergy is set to make Alibaba Cloud one of the largest AI intelligence delivery networks within the future cloud computing landscape. This is our vision for Alibaba Cloud. When we talk about intelligence, we're really talking about the tokens that are generated by AI models. We estimate that in the future, 90% of these tokens will be generated and distributed via cloud computing networks. The sheer computational requirements of large-scale AI models necessitate cloud infrastructure to achieve optimal efficiency. With our globally distributed network of data centers, we can rapidly and efficiently deliver AI capabilities to application developers worldwide.

Thirdly, as part of our Group's strategic objectives, we are committed to openly and deeply integrating AI across all our applications. We believe that embedding AI into our business will unlock substantial value by upgrading our existing offerings. AI will significantly enhance both our 2B and 2C businesses, boosting operational efficiency while significantly increasing user engagement and user value. This explains our determination, as you referenced, to invest more in infrastructure over the next three years than we did in aggregate over the past decade.

Now, regarding your second question on quarterly cloud and AI infrastructure planning, what I've laid out is our overall projection for the next three years. On an annual basis, we anticipate a relatively steady year-by-year spending pace. However, on a quarterly basis, there may be fluctuations due to supply chain cycles and IDC construction timelines.

As for how these capital investments will impact overall profitability, we expect that these next three years will mark the largest and most concentrated cloud infrastructure build-out in Alibaba's history. Naturally, this intensive investment phase will have an impact in terms of annual hardware depreciation. However, based on current user demand and our long-term industry outlook, we are confident that these infrastructure investments will be rapidly absorbed by both internal and external customer demand.

Alex Yao (JP Morgan):

(Original)

Hey, thank you, management, for taking my question, and congrats on a very strong quarter.

My question is also related to AI and the cloud. So based on my observation, the introduction of latest DeepSeek large language model families have brought high-quality model at affordable cost to the entire industry. And because DeepSeek's model itself is free of charge, monetization of large language model consumption has moved down one layer in the value chain to the compute power parts. So first of all, do you agree or disagree with this statement?

And secondly, to what extent is the compute power for large language model or gen AI not a commodity? And lastly, with the help from DeepSeek's high-quality and high-cost efficiency models, where do you see the most high-potential area in terms of AI-native application within Alibaba's ecosystem and outside of the Alibaba ecosystem? Thank you.

Eddie Wu:

(Translation)

Thank you. Those are some really good questions. I believe we're still in the very early stages of AI technology development, even as capabilities are developing rapidly. At this stage, I don't think that the future business model for foundational models is entirely clear to anybody. However, as intelligence capabilities continue to evolve and models become more sophisticated, we will see numerous monetization opportunities emerging, many of which may not be fully apparent today. Looking ahead, we envision a future where AI models become intelligent enough to replace a significant number of engineers and scientists across a wide range of domains. When that happens, we anticipate that the business model for AI will look very different from what we see today.

Secondly, if you look at current models today, the level of differentiation between large AI models from different vendors is steadily narrowing. In other words, the distinctions between models are becoming less pronounced, including between open-source models and closed-source models. However, we believe that this trend is actually highly favorable for cloud computing companies because, ultimately, the vast majority of these models — whether open-source or closed-source — will need to be hosted on cloud computing infrastructure.

For Alibaba Group, based on what we can observe today — whether it's the prospect of future models achieving significantly greater advancements, the current state of model capabilities, or the narrowing differentiation across providers — we have a very clear business model: our cloud computing network. In fact, the commoditization of intelligence is likely to benefit cloud computing networks the most. If we consider artificial intelligence as the most valuable commodity of the future—akin to electricity today—then cloud computing networks will be the equivalent of today's power grid.

As for your question about which AI-native applications have the greatest potential within the Alibaba ecosystem, we're seeing AI models becoming increasingly powerful, and their pace of evolution is accelerating as well. So it's difficult to single out any one specific area as the most promising. I would say that all of our applications have tremendous potential. However, internally, we see several clear opportunities.

The first is leveraging AI to enhance Taobao as a gateway for lifestyle and consumption. We have numerous internal development projects underway, many of which will be gradually rolled out. AI-powered enhancements are already driving substantial improvements in consumer engagement and transaction efficiency. Additionally, deeper integration of AI in shopping and shopping-related decision-making across various consumption scenarios will create significant opportunities to increase user time spent on Taobao and enhance overall user value beyond shopping area.

Another area of focus is what we internally define as our "AI-to-C" initiatives, primarily Quark and Qwen. Quark, our AI-powered search application, currently has the largest user base for AI search in China. We believe the integration of large AI models has immense potential to enhance search, productivity, content creation, and workplace efficiency.

On the 2B side, DingTalk is one of our most important assets. We see significant opportunities to leverage AI to reshape enterprise collaboration and workflow synergy, and DingTalk is our key AI application in the 2B space.

We are also actively integrating AI into Amap to drive more user value in the lifestyle services space, including boosting user engagement. Currently, Amap is primarily a navigation tool, with over 170 million DAUs. However, we see an opportunity to leverage AI to evolve Amap into a broader lifestyle services platform.

Kenneth Fong (UBS):

(Original)

Hi. Good evening, management. Thanks for taking my questions, and congrats on the strong results.

I have a question about -- on the e-commerce side. So we see that revenue have been very strong and accelerating for both AIDC, as well as CMR for TTG. So can management share with us what has changed and the key initiatives ahead for TTG, as well as AIDC? And financially, we see the margin for TTG has also stabilized. So how should we think about the trend ahead?

And for AIDC, we target for profitability next year. So shorter term, what are the key driver for driving profitability? And longer term, should we expect the international business being more profitable than domestic one, given it is less competitive? Thank you.

Jiang Fan:

(Translation)

There were quite a few questions in there. Let me start with domestic e-commerce.

In our domestic e-commerce business, we have consistently maintained our strategic direction. Our focus remains on continuous innovation and optimization of the user experience to increase user stickiness. Looking ahead to the new year, we see potential for further user growth with the integration of more payment options, and we will continue to invest in users.

Over the past year, we have introduced multiple monetization initiatives, including payment processing fees and new advertising models, which have led to a substantial increase in take rate. At the same time, we remain committed to enhancing the user experience, while also improving merchant operational efficiency and optimizing the overall business environment for merchants. And we will also continue to invest in users.

Our medium to long-term goal for domestic e-commerce remains, first and foremost, to stabilize our market share while continuously enhancing the user experience and merchant operational efficiency.

Let me now turn to our international business. Our international e-commerce business comprises several distinct pieces: B2B, cross-border, and local platforms. I'll address each separately.

First, I believe our B2B business will maintain a relatively stable trajectory over the next few years and will generate considerable profits. In our B2C cross-border business, we've made numerous optimizations, leading to significant improvement in unit economics. We are confident that in the coming quarters, you will see notable improvement in the profitability of our cross-

border business. We are also actively pursuing partnerships with local platforms in various countries, to further strengthen our long-term profitability.

As for whether our international business could ultimately become more profitable than our domestic business, it is too early to say. However, we believe that the path to profitability for our international business is clear.

Toby Xu:

(Translation)

Let me address your question about TTG's profit margins. As Jiang Fan stated, we remain firmly committed to our medium to long-term goal of maintaining a healthy and stable market share, which is a top priority. Hence, over the past few quarters, including this one, we have remained in an investment phase, with a strong focus on enhancing the user experience, including for new users and for 88VIP members. These investments will continue.

Additionally, we are leveraging the integration of expanded payment options to accelerate new user acquisition.

These are all focal areas in which we are investing, and we do remain in an investment stage.

While we continue to invest in growth, we are also exploring ways to enhance monetization, including with the introduction of software service fees as well as our more efficient and intelligent monetization product, "Quanzhantui". We will continue to drive these revenue-generating initiatives while continuing to invest.

Of course, as we enhance monetization, we are also making further investments to improve the overall business environment for merchants on our platform.

So, coming back to your question about profit margins, it's ultimately a balance between revenue and expenditure. At this stage, we remain firmly convinced of the need to continue investing in user experience, new users, and the merchant business environment. As such, we continue to be in an investment stage.

Ronald Keung (Goldman Sachs):

(Original):

Thank you, Joe, Eddie, and Toby, and Lydia. So further on the AI questions, we've seen the AI revenue at triple-digit growth, as you mentioned, for six quarters now. So how should we quantify the size of that? Are we reaching more substantial kind of double-digit mark here for AI?

The reason is I want to know the implications for cloud margins given that historically cloud business is at a very significant margin gap versus some of the global cloud players. So as the cloud mix shifts from public cloud to training and then now increasingly to inference, how should we think about the growth, and then more importantly, the cloud margin outlook for us versus our global peers in the longer term? Thank you.

Eddie Wu:

(Translation)

Thank you for your question. Indeed, our AI-related revenue has achieved over 100% growth, triple-digit growth, for six consecutive quarters. Moreover, we continue to see strong and accelerating customer demand, surpassing our original expectations.

A particularly notable shift occurred after this year's Spring Festival, when we observed an explosion in demand for inference workloads. In fact, inference now accounts for over 60% to 70% of our new customer demand.

We expect the increased adoption of inference to drive rapid expansion in our customer base, use cases, and industry coverage. This broader adoption should contribute to improved profit margins in our AI infrastructure.

However, as I said earlier, we're committed to making our largest-ever cloud and AI infrastructure investments in the coming three-year period. Naturally, the depreciation and amortization from these investments will have an impact on our profit margins.

Finally, given the intense competition in the Chinese market and its unique dynamics, we expect that cloud computing profit margins in China will likely remain different from those of other global providers.

Let me add one more point: Cloud computing is a business model that is characterized by both economies of scale and network effects. At this stage, economies of scale are particularly critical. We believe that our substantial cloud and AI infrastructure investments will lead to significant improvements in hardware procurement efficiencies and infrastructure build-out costs going forward. Therefore, we believe that continuing to expand our scale will not only drive customer acquisition but also enhance cost efficiency across these investments.

Yuan Liao (CITIC Securities):

(Translation)

Thank you, management. Congratulations on the strong results this quarter and your progress in AI.

My question concerns shareholder returns. We note that there is US\$20.7 billion remaining in the share buyback program through to March 2027. How does management think about future shareholder returns while making investments in AI? Thank you.

Toby Xu:

(Translation)

Let me take this question.

In the December quarter, as you know, we repurchased approximately US\$1.3 billion worth of shares, net reducing our outstanding share count by 0.6%. And in the two preceding quarters, we deployed a total of US\$10 billion for share buybacks, leading to a 4.4% to 4.5%² net reduction in total outstanding shares. So altogether, over the past nine months, we've deployed over US\$11 billion and achieved a 5% net reduction in our share count. This represents very substantial progress in share repurchases.

As is common market practice, we will certainly take the current share price into account when making decisions about shareholder returns and executing share buybacks. That's why in the first six months of this fiscal year, we accelerated our repurchase pace. For example, in the June quarter, we raised approximately US\$5 billion in debt financing and deployed the entirety of the proceeds to share buybacks. That was because our stock was trading for only around US\$80 per share, which was extremely undervalued.

As you know, at the board level we have set up a Capital Management Committee. This committee was specifically established to enhance shareholder returns through better capital allocation. The committee has been effectively managing capital allocation to enhance shareholder returns. Going forward, we will continue utilize a combination of dividends, share buybacks, and investments in high-growth businesses to further enhance shareholder returns.

Looking to the future, we will continue to make good use of our cash to provide returns to shareholders. As part of this strategy, we will monitor share price trends as we execute buybacks. The board-approved quota gives us greater flexibility in this regard.

Gary Yu (Morgan Stanley):

(Original)

Hi. Thank you for the opportunity, and congratulations on a strong set of results.

I have two questions, both related to AI and cloud. The first one is I appreciate management comment about AI potentially representing 50% of the global GDP, and cloud is an important

² "4.4% to 4.5%" should be "4.4%"

infrastructure. But when we think about how we monetize this potential sizable opportunity, besides the infrastructure which is represented by cloud, how should we think about Alibaba's strategy to tap into the application or software layer? And could management comment more about the enterprise adoption side because we kind of understand the previous comment about the consumer-facing part, including consumption and local services?

And my second question is related to cloud and AI infrastructure investments. So management comment about the next three years being the heaviest investment cycle in the past decade. How should we think about how Alibaba plans to allocate the investment? How much will be spent on chips? And specifically, how should we think about the mix between spending on import chips from U.S., as well as domestic chips? And in the event of further export restriction from the U.S., how should we think about any contingent plan in order to continue with the investment? Thank you.

Eddie Wu:

(Translation)

Thank you for your questions. As we just discussed, we've identified several clear opportunities for AI-driven upgrades on the consumer (2C) side. Regarding the enterprise (2B) side, we view this on two levels.

First, at the Alibaba Cloud service level, we see significant opportunities in the enterprise segment. We believe that in the future, SaaS applications and internal enterprise systems will increasingly become AI agent-driven. That is, many internal enterprise systems will gradually evolve into interconnected networks of AI agents that interact with each other, helping to enhance enterprise efficiency and even supporting critical decision-making. I believe there are substantial opportunities here for upgrading software, SaaS applications, and the underlying PaaS infrastructure.

Second, as we mentioned earlier, there's DingTalk. We believe that in the future, many enterprises - especially those using DingTalk - will increasingly collaborate through natural language interfaces, like DingTalk's chat-based interface. Meanwhile, CRM and ERP systems will function more like backend databases, supporting these interactions. For instance, many internal meeting decisions can be handled through natural language interactions on DingTalk. This represents a prime example of how AI agents can be seamlessly integrated with DingTalk. Additionally, many enterprises on DingTalk have significant volumes of proprietary internal data and workflows that will require private model deployments or dedicated AI agents to achieve greater efficiency.

Therefore, we believe that the active application of AI technology will drive a profound transformation in both the enterprise software market and the enterprise collaboration sector.

As for your second question, our overall cloud and AI infrastructure investment is tied to the composition of different equipment modules within our IDCs, so it wouldn't be appropriate to share more details.

Finally, on the chips question, we have designed Alibaba Cloud's infrastructure to be compatible with multiple types of chips. With that foundation in place, we are confident that we can execute our overall AI strategy regardless of any potential policy changes.

Jialong Shi (Nomura):

(Translation)

Good evening management, thank you for taking my questions.

I have two questions. First, following our recent divestment of non-core assets, including Intime and Sun Art, I'd like to ask about the positioning of other assets in our portfolio, such as Freshippo, Youku, and Ele.me. Are there any plans for similar divestment arrangements in the future?

Additionally, I'd like to follow up about Alibaba Cloud. As I understand it, AI's contribution to Alibaba Cloud's revenue growth is currently mainly realized through strong demand for cloud infrastructure. Given that our Qwen model is open-source and free of charge, what is its future potential and capability for revenue monetization? What monetization models are possible?

Lastly, I'd like to ask Eddie: you mentioned the relative homogeneity of current Chinese large AI models. Do you foresee this fragmented market landscape continuing in the future, or will one or two large AI models eventually capture a larger market share? Thank you.

Toby Xu:

(Translation)

Thank you for your questions. I'll address the first part, and Eddie will address the second.

Regarding the divestment of non-core assets, as you know, we have been strictly focusing on our core businesses and have been actively exiting non-core assets and investments over the past few quarters. In the December quarter, we fully exited our investments in Sun Art and Intime. We recently received anti-monopoly approval for these two transactions and expect to complete them in either the March or June quarter, depending on the overall process. We are also actively exiting certain non-strategic minority equity investments, and you will see market updates on these divestments from time to time.

Looking ahead, we will keep our primary focus on our core businesses. At the same time, in terms of the assets and investments that we still hold, we will continue to exit certain non-core investments while also ensuring that the value of other businesses is better reflected in our overall valuation. Take Freshippo as an example. As you may know, Freshippo has demonstrated strong growth and steady expansion, while also achieving solid profitability. This

demonstrates the success of our digital retail strategy integrating online and offline channels. At this time, we have no plans to sell Freshippo.

However, we maintain an open attitude regarding potential strategic investors or partnerships that could further enhance Freshippo's value and ensure that its contribution is appropriately reflected in Alibaba Group's overall valuation. This is something we will continue to explore and evaluate.

Eddie Wu:

(Translation)

Let me take the other part of that question.

Alibaba Cloud's revenue growth is being fueled by strong customer demand for AI-related products. Our Qwen model is open-source, but that doesn't necessarily mean it's free, as we offer paid APIs on our Bailian platform. Of course, at present, the revenue generated from these paid APIs remains relatively small. However, we believe that as model capabilities continue to improve and customer demand grows, charging for API access will remain a fundamental monetization model. That's point one.

Second, because Qwen is an open-source model, many developers are building their own vertical models and applications based on it. These developers naturally choose Alibaba Cloud, as it offers the best efficiency for running Qwen and its derivative models.

Third, we've observed that customers using Qwen APIs tend to drive significant additional sales of other Alibaba Cloud products. So we are seeing a strong cross-selling effect.

Therefore, while Qwen may not be generating huge direct revenue, it is a critical component of our overall cloud business model.

Your final question was about the market landscape for large AI models. Since AI model technology is still evolving rapidly and the market remains in its early stages, it's not yet clear what the end state will look like. However, based on current industry trends, we believe that the differences between foundational large models will continue to diminish.

But we're seeing increasing progress in reasoning models, particularly with models like OpenAI o1, DeepSeek, and the forthcoming reasoning model from our own Qwen family.

We see enormous market potential in the post-training customization and adaptation of these models. This includes adapting models for specific industries and private datasets. This presents a vast opportunity for companies of all sizes, large and small, to create value.

Looking ahead, we are confident that many of these specialized and vertical AI models will be hosted on the cloud. That is one of the reasons that we are so excited by the prospects of a thriving open-source ecosystem.

Lydia Liu:

(Original)

Thanks, Eddie. That wraps up the Q&A session of today's earnings call. Thank you very much for joining us today. We look forward to speaking with you soon.

[END OF TRANSCRIPT]